STATE OF NEW YORK
PUBLIC SERVICE COMMISSION

Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of The Brooklyn Union Gas Company d/b/a National Grid NY for Gas Service.	Case 23-G-0225
Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of KeySpan Gas East Corp. d/b/a National Grid for Gas Service.	Case 23-G-0226

DIRECT TESTIMONY

OF

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Dated: September 1, 2023
Albany, New York

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I. INTRODUCTION AND OVERVIEW

Q. Would you please state your name and business address?

A. My name is Danielle M. Panko, and my business address is 99 Washington Avenue, Suite 640, Albany, NY 12231.

Q. By whom are you employed, in what capacity, and what are your professional backgrounds and qualifications?

A. I currently hold the position of a Utility Analyst with the Utility Intervention Unit (UIU) of the New York State Department of State's Division of Consumer Protection. I received a Bachelor of Science in Mathematics from the State University of New York at New Paltz in 2001 and a Master of Science in Electrical Engineering from the State University of New York at New Paltz in 2008.

Since I joined UIU in 2012, I have worked on a myriad of New York utility cases in addition to other rate and policy proceedings. My primary responsibilities have included assisting with UIU's participation in Public Service Commission (PSC or Commission) proceedings, researching utility policy and regulatory related issues, and representing UIU during various utility-related meetings and rate case negotiations. Prior to joining UIU, I worked as an Analyst, and later as a Senior Analyst, for Consolidated Edison Company of New York, Inc. (Con Edison) in the Rate Engineering Department Gas Rate Design Section from 2007 to 2012. I worked for Philips Semiconductors as a reliability engineer from 2004-2007 and for Central Hudson Gas and Electric Corporation (Central Hudson) from 2000 to

2001 as an intern in the Accounts Service Department and subsequently in the Electrical Engineering Department.

Q. Have you previously testified before the Commission?

A. Yes. I previously submitted testimony in Cases 13-E-0030 and 13-G-0031 (Con Edison), 14-E-0318 and 14-G-0319 (Central Hudson), 14-E-0493 and 14-G-0494 (Orange and Rockland Utilities, Inc. (Orange and Rockland)), 15-E-0283, 15-G-0284, 15-E-0285 and 15-G-0286 (New York State Electric and Gas Corporation (NYSEG) and Rochester Gas and Electric (RG&E)), 16-G-0058 and 16-G-0059 (The Brooklyn Union Gas Company d/b/a National Grid NY (KEDNY) and KeySpan Gas East Corp. d/b/a National Grid (KEDLI)), 16-G-0060 and 16-G-0061 (Con Edison), 16-G-0257 (National Fuel Gas Company (National Fuel)), 17-E-0238 and 17-G-0239 (Niagara Mohawk Power Corporation d/b/a National Grid (Niagara Mohawk)), 17-E-0459 and 17-G-0460 (Central Hudson), 18-E-0067 and 18-G-0068 (Orange and Rockland), 19-G-0309 (KEDNY) and 19-G-0310 (KEDLI), 19-E-0378, 19-G-0379, 19-E-0380, and 19-G-0381 (NYSEG) and (RG&E); 20-E-0380 and 20-G-0381 (Niagara Mohawk); and 20-E-0428 and G-0429 (Central Hudson), 21-G-0073 and 21-E-0074 (Orange and Rockland), 22-E-0064 and 22-E-0065 (Con Edison), 22-E-0317, 22-G-0318, 22-E-0319, 22-G-0320 (NYSEG and RG&E).

Q. What is the scope of this testimony?

A. I will be responding to the Rate Design Panels for both KEDNY and KEDLI (together, the Companies), which were filed with the Companies' rate filing package on April 28, 2023, in Cases 23-G-0225 and 23-G-0226. In addition, I will be responding to both the KEDNY and KEDLI Correction and Updates Rate Design Panels filed on June 30, 2023. I will primarily comment on the Embedded Cost of Service (ECOS) studies, revenue allocation, and rate design proposed by KEDNY and KEDLI, as set forth in the Direct and Correction and Updates Testimony of the Rate Design Panel (KEDNY) and the Direct and Corrections and Updates Testimony of the Rate Design Panel (KEDLI). The absence of discussion of other topics in this testimony should not be construed as support for, or opposition to, the Companies' positions.

Q. How is your testimony organized?

A. This testimony has five sections. First, I summarize my recommendations. Second, I provide the background of the Companies' previous rate cases. Third, I discuss cost of service studies issues. Fourth, I discuss revenue allocation issues. Finally, in the fifth section, I discuss limited gas rate design issues.

Q. Have you prepared any exhibits to be filed with your testimony?

A. Yes, Exhibit__(DP-1) and Exhibit__(DP-2) accompany my testimony. Exhibit__(DP-1) contains the Companies' responses to Information Requests (IRs)

that I relied upon in preparing this testimony. Exhibit__(DP-2) contains illustrative bill impacts based on my proposed revenue allocation and rate design.

II. SUMMARY OF RECOMMENDATIONS

Q. Please briefly summarize your recommendations.

A. My recommendations are as follows:

A. COST OF SERVICE

In lieu of relying on one or more ECOS studies to identify over-earning and under-earning classes, a uniform increase is more appropriate given the Companies' significantly high Rate Year 1 proposal. If the Commission approves additional rate years, I see merit in considering the outputs of the two ECOS model methodologies filed in these cases (including 100% demand methodology to classify distribution gas main costs) in outer rate years.

For future rate cases, I recommend the Companies provide the results of multiple gas ECOS studies for use as a guide to allocate costs to individual service classifications, including pro-forma ECOS studies with distribution accounts classified as 100% demand-related and one chosen by the Companies. This request is consistent with approaches used in previous utility rate cases.

B. REVENUE ALLOCATION

UIU does not support the significantly high increases filed in these cases. If the Commission adopts the Companies' proposed increases Rate Year 1, I propose that each firm class receive a uniform increase for Rate Year 1 due to the magnitude of the rate increases. This mitigates delivery increases to those service classifications that ultimately would have been assigned much higher than average revenue increase proposed by the Companies. If the Commission ultimately approves significantly lower revenue increases in these cases, a different proposal may be warranted.

If the Commission adopts a multi-year rate plan in these cases, I anticipate that a reasonable revenue allocation approach may include relying on the ECOS results filed in these cases based on classifying distribution mains as 100% demand-related instead of solely relying on the output of the Companies' preferred ECOS model.

While I understand that utilities typically file one year rate plans as part of initial filings, utilities may have forecasted multiple years of revenue impacts in the event a multi-year rate case is ultimately approved by the Commission. As part of the rate case process, I suggest that additional data be included over the course of rate case filings (such as the dollar amount and percentage increase on delivery revenue requirement for each Rate Year and overall rate increase) so that

consumer advocates and ratepayers understand the projected cumulative revenue impacts in the event a multi-year rate case is established.

C. RATE DESIGN

The Companies have explored changes to its current rate design structures to promote energy efficiency (including moving away from declining block rate structures and increasing the tail block rates more than the preceding block rates), where feasible. I am generally accepting of the Companies' direction of modifying rates for the Service Classes mentioned in the rate design section of my testimony, given the extreme rate increases proposed in these cases. I provide illustrative bill impacts in Exhibit__(DP-2), which assumes my proposed revenue allocation approach and modifies rate design in a similar manner as the Companies. However, a reduction in the customer charge or more movement towards eliminating declining block rates for customer classes identified as having the ability to manage demand may be feasible if the Commission approves significantly lower revenues in these cases.

III. GENERAL RATE CASE BACKGROUND

Q. Briefly discuss the results of the Companies' previous rate cases, which were initiated in 2019.

A. In Cases 19-G-0309, 19-G-0310, and 18-M-0270, the Joint Proposal was filed on May 14, 2021 (2021 Joint Proposal), which reflected compromises and concessions during settlement negotiations. In the Order Approving Joint Proposal, As Modified, and Imposing Additional Requirements, issued and effective August 12, 2021, on pages 2–3, the Commission approved rate plans set forth in the Joint Proposal that managed the Companies' revenue requirement at a time during the Covid-19 pandemic, which included a 0% delivery increase in Rate Year 1 (April 1, 2020 through March 31, 2021) and two percent for KEDNY and 1.8 percent for KEDLI during Rate Year 2 (April 1, 2021 through March 31, 2022) and Rate Year 3 (April 1, 2022 through March 31, 2023). As Rate Year 1 was already complete by the time the Joint Proposal was filed, make whole provisions were also included (2021 Joint Proposal, Appendix 3, Schedule 13 and Appendix 4, Schedule 13). For the average residential customer, page three of the 2021 Order showed that the delivery increases resulted in total monthly bill increases of approximately $5.56 (3.77 percent) in Rate Year 2 and $4.89 (3.26 percent) in Rate Year 3 for KEDNY customers and $5.35 (3.71 percent) in Rate Year 2 and $5.45 (3.73 percent) in Rate Year 3 for KEDLI customers.

While the 2021 Joint Proposal contained a section on cost of service, it did not fully discuss the assumptions used to determine the ECOS model methodologies agreed upon by the signatory parties. The Companies, on page 29 of its Statement of Support of the Joint Proposal filed on June 2, 2021, mentioned that "[t]he revenue allocation proposed in the JP does not use or otherwise reflect

any one ECOSS sponsored by any party in these proceedings." The 2021 Joint Proposal, on page 18, highlighted that "[t]he revenue allocations are not intended to establish precedent in support of the use of any embedded cost of service methodology in any future rate proceeding." Furthermore, the 2021 Joint Proposal supported rate class average increases as shown in KEDNY Appendix 3, Schedule 2.4 and KEDLI Appendix 4, Schedule 2.4. In addition, on page 38, the 2021 Joint Proposal required the Companies to submit ECOS studies that classify distribution mains as 100% demand-related as part of the Companies' next rate proceedings.

IV. COST OF SERVICE

A. Background

Q. Please provide a few brief introductory comments concerning ECOS studies.

A. An ECOS study is often used as a tool in utility rate proceedings to apportion rate base and operating expenses among the various customer classes. This data is used in conjunction with existing revenues to estimate the overall system Rate of Return (ROR) and the ROR earned from each service classification as defined in the study. Sometimes, the focus is on historical revenues; other times forecasted revenue increases for the Rate Year (pro-forma) are used to estimate the overall system ROR (similar to what the Companies proposed in these cases). Regardless of the specific approach that is used, the analyst must exercise discretion and judgment in apportioning costs. Some of these judgments are discussed in the

National Association of Regulatory Utility Commissioners Gas Distribution Rate Design Manual, published in June 1989 (NARUC Gas Manual). The NARUC Gas Manual, on page 20, points out that "[t]here is no scientifically correct method of making necessary allocations" and that a "certain amount of judgement must be used in any cost of service study." The NARUC Gas Manual offers a starting point to develop ECOS studies and highlights areas of concern. Some of these judgments have been the subject of much debate and controversy throughout the last 40 years or more.

The end result of an ECOS study is to inform the overall system ROR and individual service classification RORs. The ECOS study results are particularly significant because of their potential impact on revenue allocation—how the rate increases are assigned to the various customer classes. The ECOS results, or output, are sometimes also used to support aspects of the rate design – particularly the monthly customer charge – within individual SCs.

Q. Can you provide some details about distribution gas mains?

A. Distribution gas mains are generally in service for long periods of time. As part of the Companies' response to Exhibit__(DP-1) (UIU IR No. 21) regarding gas infrastructure and operations, the Companies stated:

> [T]he Companies' city gates are connected to the transmission system, which feeds the distribution networks that serve customers under numerous service classifications using distribution main of

different sizes across the Companies' service territories.

As such, there is no evidence that distribution gas mains purely service certain types of service classification (e.g., residential, commercial, industrial). It is my understanding that gas mains must be designed to meet reliability and safety requirements and will not be installed if they cannot meet peak demand standards. Distribution gas main costs comprise a large percentage of the overall costs identified in an ECOS study; how these costs are classified can impact the final ECOS results. Gas service lines transport gas from a distribution gas main to the customer premises and are generally considered the final connection point for the provision of utility to service customers.

Q. You mentioned that some of the judgments used within ECOS studies have been controversial. Can you elaborate on this point with some examples?

A. Yes. One particularly controversial judgment has been the decision regarding the assignment of customer costs—particularly whether costs associated with the distribution system should be included as customer costs. For gas, the general dispute is over the classification and allocation of distribution mains assigned to FERC Account 376. Over the years, there have been differences in opinion among intervenors and utilities on the optimal methodology to use.

Customer-related costs are assumed to be costs directly affected by the number of customers served, irrespective of usage and demand. Examples of

customer-related costs that can be directly linked to the number of customers are meter reading and billing. In some instances, there is no direct way to assign customer-related costs. Instead, some gas and electric utilities choose to classify costs as customer-related using some variation of a minimum system or a statistically based zero-intercept method. The NARUC Gas and Electric Manuals highlight some of the flaws of using such methods.[1] The minimum system—for which the Companies are advocating—assumes that 2-inch mains connect all customers to the gas system. There are several other recognized methods to classify and allocate distribution gas mains. For example, the NARUC Gas Manual, on page 23, mentions the basic system theory (100% demand approach) as an equally acceptable methodology. The NARUC Gas Manual states that "mains and services are installed to service demands of the consumers and should be allocated to that function." The 100% demand approach has been utilized and advocated for in New York utility rate cases in the past. As an example of industry acceptance, UIU notes that the Companies' expert proposed a methodology that does not rely on a minimum system or classify distribution gas main costs as

[1] For example, the January 1992 NARUC Electric Utility Cost Allocation Manual, at 95, states, "The minimum-intercept method can sometimes produce statistically unreliable results . . . . Cost analysts disagree on how much of the demand costs should be allocated to customers when the minimum-size distribution method is used to classify distribution plant. When using this distribution method, the analyst must be aware that the minimum-size distribution equipment has a certain load-carrying capability, which can be viewed as a demand-related cost. When allocating distribution costs determined by the minimum-size method, some cost analysts will argue that some customer classes can receive a disproportionate share of demand costs."

customer-related in rate cases outside of New York as shown in Exhibit__(DP-1) (UIU IR No. 42).

Q. How did the Companies classify distribution gas mains in these cases?

A. In these cases, the Companies relied upon the results of averaging three data sets of plastic gas main data (KEDNY: 2018-21, Cases 19-G-0309 and 16-G-0059; and KEDLI: 2018-2021, Cases 19-G-0310 and 16-G-0059) "to promote stability and to broaden the period of data used in the study."[2] These three data points show a variation in results. For example, the 2016 data set classifies 62.1% (KEDNY) and 58.4% (KEDLI)[3] as demand-related, which is a higher percentage of distribution-main costs as proposed in these cases. For comparison, the Companies propose to classify 53.71% as demand-related for KEDNY and 52.56% as demand-related for KEDLI in these cases.[4]

Q. Do utilities in New York consistently use the same approach to classify costs within the various FERC accounts that are set forth in ECOS studies?

A. No. New York electric and gas utilities may propose different methods to classify and allocate costs and may not be consistent from one rate case to another or

[2] KEDNY Exhibit__(RDP-3), Schedule 9, Page 2 of 5; KEDLI Exhibit__(RDP-3), Schedule 9, Page 2 of 5.

[3] Results of KEDNY KEDLI 2016 Rate cases found in KEDNY KEDLI Exhibit__(RDP-3) Schedule 8F.

[4] KEDNY KEDLI Exhibit__(RDP-3), Schedule 9, Page 2 of 5.

from even from initial testimony to rebuttal testimony. Some of these methodologies are disputed during the rate case process (in intervenor testimony, settlement negotiations, briefs, etc.). In some instances, a utility might propose specific methodologies and associated allocators in response to intervenor testimony, or to comply with a negotiated memorandum of understanding, stipulation agreement, or past joint proposal. In other instances, utilities may opt to not fully rely upon ECOS methodologies when developing revenue allocation and rate design proposals for various reasons such as to promote gradualism or policy decisions.

Q. Has the minimum system approach been universally accepted by either utilities or regulators?

A. No. This approach is not universally used, and where it has been used it has often been very controversial. Even when it has been used, it has not necessarily been fully relied upon for the purposes of revenue allocation.

Q. Should the Companies' preferred ECOS results be used as the sole basis to allocate the revenue requirement for each utility across service classifications?

A. Not exactly. I generally believe that relying upon several ECOS models as a guide to allocate costs is more appropriate as it provides more insight into the impact of key judgments; it will help the Commission make better, more informed decisions

based on the results. Under the facts and circumstances of these cases, which include extremely high revenue increase requests, a simplistic approach to assign delivery revenue increases in Rate Year 1 is more appropriate as discussed in the revenue allocation section.

Q. Have the Companies previously agreed to file the results of using more than one ECOS model?

A. Yes. The Joint Proposal submitted in Cases 16-G-0058 and 16-G-0059 et al. included a commitment by the Companies to file certain ECOS studies. For example, the Joint Proposal filed on September 7, 2016, on page 131, stated:

> In their next base rate cases, the Companies will each submit an embedded cost of service study in which the costs of mains will be classified 100 percent as demand-related.

The commitment regarding KEDNY and KEDLI's future gas ECOS studies was approved by the Commission in the "Order Adopting Terms of Joint Proposal and Establishing Gas Rate Plans" issued and effective December 16, 2016. The provision of a 100% demand study continued into the 2019 cases. Similar language can be found on page 38 of the Joint Proposal filed on May 14, 2021, in Cases 19-G-0309, 19-G-0310, and 18-M-0270, which was adopted by Commission order on August 12, 2021:

> In their next base rate filings, the Companies will submit for informational purposes ECOS studies that classify distribution main costs as 100 percent demand-related as part of their response to pre-filing information requests to the active parties to these proceedings. The Companies will not be required to use the results of those studies for any purpose.

On page 52 of the Staff Statement in Support of the Joint Proposal, which was filed on June 2, 2021, Staff supported future inclusion of 100% demand study results when it stated:

> [T]he Companies commit to providing, for informational purposes, ECOS studies that classify distribution main costs as 100% demand-related. This provision is reasonable because it commits the Companies to providing data in their next rate proceedings of interest to other parties and that will contribute to a complete record in those future proceedings.

The Companies filed ECOS results consistent with this provision in these cases on April 28, 2023, and in the supplemental filing on June 30, 2023.[5] The latest results of the two studies are shown in the Companies' supplemental filing are shown below.

[5] For more information regarding the Companies' filed ECOS models applying a 100% demand input for the cost of distribution mains, see the following exhibits and supporting workpapers. *See* Exhibit__(RDP-12) for both KEDNY and KEDLI, filed on April 28, 2023, and Exhibit__(RDP-12CU) for both KEDNY and KEDLI, filed on June 30, 2023.

Table 1. – KEDNY's Filed ECOS Results (June 2023 Supplemental Filing)

		Study 1 Distribution Mains Classified as Customer/Demand-Related (Minimum System)		Study 2 Distribution Mains Classified as 100% Demand-Related	
Service Class	Description	Relative Rate of Return (RROR)	RROR Status	RROR	RROR Status
SC 1A	Residential Non-Heat	(0.52)	Under	6.84	V High
SC 1B	Residential Heat	1.38	Within	1.25	Within
SC DG	DG Residential Distributed Generation	(2.79)	Under	(3.16)	Under
SC 2-1	General Service Non-Heat	4.28	Over High	2.68	Over High
SC 2-2	General Service Heat	1.83	Over	0.30	Under
SC 3	Multi Family	(0.13)	Under	(1.49)	Under
SC 4A	High Load Factor Service	2.95	Over High	0.76	Within
SC 4A-CNG	Compressed Natural Gas Service	3.77	Over High	1.43	Over
SC 4B	Year-round AC Non-Residential	5.39	Over High	2.42	High
SC 22/18/22	Non-Firm	6.02	Over Very High	6.18	Very High
SC 7	Seasonal Off-Peak	(6.24)	Under	(6.62)	Under
SC 21	Baseload DG	(5.72)	Under	(5.43)	Under
Total System		1.00	System Average	1.00	System Average

Table 2. – KEDLI's Filed ECOS Results (June 2023 Supplemental Filing)

		Study 1 Distribution Mains Classified as Customer/Demand-Related (Minimum System)		Study 2 Distribution Mains Classified as 100% Demand-Related	
Service Class	Description	RROR	RROR Status	RROR	RROR Status
SC 1A	Residential Non-Heat	(0.74)	Under	3.11	Over High
SC 1B	Residential Heat	0.71	Within	1.08	Within
SC DG	DG Residential Distributed Generation	(2.30)	Under	(2.70)	Under
SC 2A	General Service Non-Heat	5.85	Over Very High	4.36	Very High
SC 2B	General Service Heat	1.53	Over	0.22	Under
SC 3A	Multi Family Non-Heat	3.34	Over High	1.71	Over
SC 3B	Multi Family Heat	0.47	Under	(1.15)	Under
SC 9	Wholesale NGV	25.28	Over Very High	16.99	Very High
SC 18/19	Non-Firm	3.58	Over High	3.80	Over High
SC 15	High Load Factor	1.75	Over	(0.15)	Under
SC 16	Year Round Space AC	3.86	Over High	1.13	Within
SC 17	Distributed Generation Sales	2.81	Over High	1.83	Over
Total System		1.00	System Average	1.00	System Average

Q. Is such an agreement in a Joint Proposal unique?

A. No. There have been several Joint Proposals approved by the Commission that include similar agreements. The Commission, in its March 14, 2019 order in Cases 18-E-0067 et al., approved the Joint Proposal filed in those cases, which directed that, on pages 43–44 of the Joint Proposal, Orange and Rockland would file a few different electric and gas ECOS studies in the Company's next rate cases, including an ECOS study that classifies certain distribution accounts as 100% demand-related. Similar approvals can be seen in some of the previous NYSEG and RG&E rate cases—for example, in Cases 15-E-0283 et al., on page 1 of

Appendix W of the Joint Proposal filed on February 19, 2016, which was approved by the Commission on June 15, 2016.

B. Recommendations

Q. What do you recommend with respect to using ECOS results for revenue allocation purposes in these cases?

A. Due to the significantly high delivery revenue increases as proposed by the Companies for Rate Year 1 (2025), and in lieu of relying on one or more ECOS to identify over-earning and under-earning classes for the purposes of assigning a range of delivery revenue increases, in these cases a uniform increase among the firm gas service classes is more appropriate. A uniform increase prevents any customers from receiving higher than average delivery revenue increases (e.g., higher than 32.5% (KEDNY) and 30.7% (KEDLI) according to the Companies' corrections and updates filing), which is particularly appropriate given the Companies' significantly high Rate Year 1 proposal.

If the Commission approves additional rate years, I do see merit in considering the outputs of the two filed ECOS model methodologies in outer rate years. To my knowledge, the minimum system approach (as utilized by the Companies) has not been universally accepted as a statewide optimal practice to classify and allocate distribution gas main costs; and the 100% demand model (also filed in these cases) has been advocated by utilities and DPS Staff in the past and is also found as one of the options in the latest NARUC Gas Manual. Additional

discussion pertaining to the use of ECOS models for revenue allocation purposes can be found in the revenue allocation section of my testimony.

Q. What do you recommend with respect to ECOS models for revenue allocation purposes in future cases?

A. First, I recommend the Companies provide the results of multiple gas ECOS studies for use as a guide to allocate costs to individual service classifications, including pro-forma ECOS studies with distribution accounts classified as 100% demand-related and one chosen by the Companies. Furthermore, this request is consistent with approaches that have been accepted and approved by the Commission in past utility rate cases.

V. REVENUE ALLOCATION

A. Background

Q. Can you briefly explain the revenue allocation process in a typical utility rate case?

A. Yes. The results of one or more ECOS studies guide decisions regarding how proposed rate changes should be allocated across various service classifications. The specific process can vary, but ECOS results are generally examined to see whether certain classes have been identified as having a high ROR, which means that service class has paid more than the costs they have been allocated, sometimes referred to as “overearning.” If a high ROR is identified, an effort is

typically made to assign a somewhat smaller share of the rate increase or revenue requirement to that service classification, thereby moving in the direction of greater uniformity in the service classification RORs. Similarly, if certain classes are identified as having a low ROR—meaning that the service class has paid less than the costs that have been allocated to them, sometimes referred to as "overearning," a somewhat greater than average share of the rate increase or revenue burden may be assigned to that class during the revenue allocation step.

In carrying out the revenue allocation process, tolerance bands are often used around the system average ROR to decide whether the service classification ROR deviates far enough from the average ROR to merit special treatment. The width of the tolerance band (*e.g.*, +-10%, 20%, 30%, etc.) can vary widely, but the effect is generally the same—to ameliorate disputes concerning the ECOS results, since service classifications that fall within the tolerance band generally receive the same percentage change. An analyst must exercise judgment when determining the size of the tolerance band, and this is sometimes a topic of dispute. The tolerance band can be important because it helps determine which service classifications will receive revenue changes that are less than, or more than, the other service classifications. Finally, some restrictions may be imposed to exercise further judgment in the outcome, such as to avoid extreme bill impacts or prevent classes to receive revenue decreases (*e.g.*, no class is given a decrease, no class is given more than 150% of the average increase). Over the years in various

proceedings, the Commission has sometimes approved other revenue allocation methods (e.g., system average increase for all service classifications, etc.).

Q. Please explain how the Companies propose to distribute the delivery increase over pro-forma base delivery revenues among the various customer service classifications?

A. The Companies started with the results of its chosen pro-forma gas ECOS Study (which classifies distribution mains as partly customer-related using a minimum system methodology), using the below steps.

First, the Companies applied a tolerance band around the system average ROR. Service classifications above or below the tolerance band were considered surplus or deficient, respectively. The Companies propose a tolerance band around the ROR of 0.65 times the average and 1.35 times the average in direct testimony and an expanded tolerance band to 0.6 times the average and 1.4 times the average in corrections and updates.

Second, the Companies assigned revenue changes based on the tolerance band results. Generally, classes within the tolerance band receive close to average increase, and classes over the band receive smaller increases or a decrease. The Companies proposed a range of smaller increases by categorizing service classifications as Over, High, and Very High according to the magnitude of how far

away the ROR is from the tolerance band, and classes under the tolerance band receive larger increases.[6]

The tables below display the Companies' proposed revenue allocation for each utility set forth in the Companies' (1) April 28, 2023 initial filing and (2) June 30, 2023 corrections and updates.

Table 3. KEDNY's Proposed ECOS and Revenue Allocation Results

		KEDNY's Direct Testimony		KEDNY's C&U Testimony	
KEDNY Service Classes		Tolerance Band Position[7]	Rate Year 1 Delivery Increase [%][8]	Tolerance Band Position[9]	Rate Year 1 Delivery Increase [%][10]
SC 1A	Residential Non-Heat	Under	34.0%	Under	37.0%
SC 1B	Residential Heat	Within	28.6%	Within	31.5%
SC DG	DG Residential Distributed Generation	Under	34.0%	Under	37.0%
SC 2-1	General Service Non-Heat	Over High	25.5%	Over High	28.5%
SC 2-2	General Service Heat	Over	27.0%	Over	30.0%
SC 3	Multi Family	Under	34.0%	Under	37.0%
SC 4A	High Load Factor Service	Over	27.0%	Over High	28.5%
SC 4A-CNG	Compressed Natural Gas Service	Over High	25.5%	Over High	28.5%
SC 4B	Year-round AC Non-Residential	Over High	25.5%	Over High	28.5%
SC 22/18/22	Non-Firm	Over Very High	22.0%	Over Very High	25.0%
SC 7	Seasonal Off-Peak	Under	34.0%	Under	37.0%
SC 21	Baseload DG	Under	34.0%	Under	37.0%
Total Distribution Increase		**System Total**	**29.6%**	**System Total**	**32.5%**

6 Direct Testimony of the Rate Design Panel for both KEDNY and KEDLI, at 33–37 and 34–38 (Apr. 28, 2023), respectively; Corrections and Updates Testimony of The Rate Design Panel for both KEDNY and KEDLI, at 5 and 4–5 (June 30, 2023), respectively.

7 KEDNY Direct Testimony of The Rate Design Panel, Exhibit___(RDP-4), Schedule 1, Page 2 of 2, Line 33 (Apr. 28, 2023).

8 *Id.* at Line 41.

9 KEDNY Corrections and Updates Testimony of The Rate Design Panel, Exhibit__(RDP-4CU), Schedule 1, Page 2 of 2, Line 33 (June 30, 2023); see also *id.* at 5 (noting that the tolerance band was widened, causing the Within category to fall between 0.60 and 1.4 times system average rate of return).

10 *Id.* at Line 41.

Table 4. KEDLI's Proposed ECOS and Revenue Allocation Results

		KEDLI's Direct Testimony		KEDLI's C&U Testimony	
KEDLI Service Classes		Tolerance Band Position[11]	Rate Year 1 Delivery Increase [%][12]	Tolerance Band Position[13]	Rate Year 1 Delivery Increase [%][14]
SC 1A	Residential Non-Heat	Under	32.0%	Under	37.3%
SC 1B	Residential Heat	Within	26.5%	Within	31.8%
SC DG	DG Residential Distributed Generation	Under	32.0%	Under	37.3%
SC 2A	General Service Non-Heat	V. High	17.5%	V. High	22.8%
SC 2B	General Service Heat	Over	22.5%	Over	27.8%
SC 3A	Multi Family Non-Heat	High	20.0%	High	25.3%
SC 3B	Multi Family Heat	Under	32.0%	Under	37.3%
SC 9	Wholesale NGV	V. High	17.5%	V. High	22.8%
SC 18/19	Non-Firm	V. High	17.5%	High	25.3%
SC 15	High Load Factor	Over	22.5%	Over	27.8%
SC 16	Year Round Space AC	High	20.0%	High	25.3%
SC 17	Distributed Generation Sales	Under	32.0%	High	25.3%
Total Distribution Increase		**System Total**	**25.3%**	**System Total**	**30.7%**

B. Recommendations

Q. What is your response to the Companies' revenue allocation proposals?

A. First, I would note that UIU does not support the significantly high increases filed in these cases. If the Commission adopts the Companies' proposed increases Rate Year 1, I propose that each firm class receive a uniform increase for Rate Year 1 due to the magnitude of the rate increases. This assigns the same increase for all firm classes while mitigating delivery increases to those service

[11] KEDLI Direct Testimony of The Rate Design Panel, Exhibit___(RDP-4), Schedule 1, Page 2 of 2, Line 33 (Apr. 28, 2023).

[12] *Id.* at Line 41.

[13] KEDLI Corrections and Updates Testimony of The Rate Design Panel, Exhibit__(RDP-4CU), Schedule 1, Page 2 of 2, Line 33 (June 30, 2023); also see *id.* at 4–5 (noting that the tolerance band was widened, causing the Within category to fall between 0.60 and 1.4 times system average rate of return).

[14] *Id.* at Line 41.

classifications that ultimately would have been assigned higher than average revenue increase. Notably, for example KEDNY and KEDLI max delivery increases (which includes some residential and multi-family classes) as shown in updates and corrections testimony are 37.0% and 37.3%, respectively. As ratepayers received two years of delivery revenue increases of less than two percent in the last rate cases in response to the COVID-19 pandemic, introducing delivery increases greater than the average increase can further compound negative financial impacts on consumers. If the Commission ultimately approves significantly lower revenue increases in these cases, a different proposal may be warranted. I reserve the right to revisit this later. My recommended revenue allocation using the Companies' corrections and updates revenues are shown below.

Table 5. – UIU Illustrative Revenue Allocation Proposal for Rate Year 1 (KEDNY)

KEDNY			
Service Class	Description	Company Proposed Delivery Increase	UIU's Proposed Delivery Increase
SC 1A	Residential Non-Heat	37.0%	32.7%
SC 1B	Residential Heat	31.5%	32.7%
SC DG	DG Residential	37.0%	32.7%
SC 2-1	General Service Non-Heat	28.5%	32.7%
SC 2-2	General Service Heat	30.0%	32.7%
SC 3	Multi Family	37.0%	32.7%
SC 4A	High Load Factor Service	28.5%	32.7%
SC 4A-CNG	Compressed Natural Gas Service	28.5%	32.7%
SC 4B	Year-round AC Non-Residential	28.5%	32.7%
SC 22/18/22	Non-Firm	25.0%	26.0%
SC 7	Seasonal Off-Peak	37.0%	32.7%
SC 21	Baseload DG	37.0%	32.7%
Total System		32.5%	32.5%

Table 6. – UIU Illustrative Revenue Allocation Proposal for Rate Year 1 (KEDLI)

KEDLI			
Service Class	Description	Company Proposed Delivery Increase	UIU's Proposed Delivery Increase
SC 1A	Residential Heat	37.3%	30.7%
SC 1B	DG Residential	31.8%	30.7%
SC DG	General Service Non-Heat	22.8%	30.7%
SC 2A	General Service Heat	27.8%	30.7%
SC 2B	Multi Family Non-Heat	25.3%	30.7%
SC 3A	Multi Family Heat	37.3%	30.7%
SC 3B	Wholesale NGV	22.8%	30.7%
SC 9	Non-Firm	25.3%	24.5%
SC 18/19	High Load Factor	27.8%	30.7%
SC 15	Year Round Space AC	25.3%	30.7%
SC 16	Distributed Generation Sales	25.3%	30.7%
SC 17	Residential Non-Heat	22.8%	30.7%
Total System		30.7%	30.7%

Q. What if the Commission adopts a multi-year rate plan in these cases?

A. The Companies forecasts lower delivery increases for three outer rate years as shown in the response to Exhibit__(DP-1) (UIU IR. No. 6 Attachment 1) (11% for Rate Year 2026, 8% Rate Year 2027, and 6% 2028 for KEDNY and 12% for Rate

Year 2026, 7% Rate Year 2027, and 5% 2028 for KEDLI). Similar projections are shown in the Companies' updated tables shown in Exhibit__(DP-1) (UIU IR No. 24 Attachment 1). Should the Commission approve lower revenue requirements, such as those proposed by the Companies in the outer years (2026-2028), an alternative revenue allocation approach could be considered.

For these outer rate years (2026-2028), I anticipate that a reasonable revenue allocation approach may include relying on the ECOS results filed in these cases based on classifying distribution mains as 100% demand-related instead of solely relying on the output of the Companies' preferred ECOS model.

Q. Do you have any other suggestions to display data in rate cases?

A. Yes. I suggest that additional data be included in rate case filings so that consumer advocates and ratepayers understand the projected cumulative revenue impacts in the event a multi-year rate case is established. In these cases, the Companies already have projected three years of outer year revenue increases. It would be helpful to understand the overall impacts to consumers if an additional three years were approved by the Commission.

Q. What type of information do you propose?

A. I suggest the dollar amount and percentage increase on gas delivery revenue requirement with and without levelization for each Rate Year be included by the

Companies over the course of the rate cases. In addition, the overall rate increase with and without rate levelization should also be included. An example of additional information to be displayed can be found on page 1 of Appendix A of the Joint Proposal filed in Cases 22-E-0317 et al. (NYSEG RG&E) on June 14, 2023.

VI. RATE DESIGN

A. Existing Declining Block Rate Structures

Q. Have the Companies explored changes to its current rate design structure to promote energy efficiency in these cases?

A. Yes. Both Companies' initial Rate Design Panel testimonies mention that its rate design proposals include changes to the rate design structures such as moving away from declining block rate structures and increasing the tail block rates more than the preceding block rates, where feasible. For example, the tail block rate is proposed to move from 37.3 percent of the mid-block rate to 53.0 percent for KEDNY Residential SC1B Heating (a class that has ability to manage demand).[15] A similar proposal is shown for KEDLI SC1B Residential Heat where the tail block is proposed to move from 23.5 percent of the mid-block rate to 28.9 percent.[16] The Companies explain the following motivation when designing rates, on page 38 in

[15] Initial Testimony of the Rate Design Panel (KEDNY), at 39 (Apr. 28, 2023).
[16] Initial Testimony of the Rate Design Panel (KEDLI), at 39–40 (Apr. 28, 2023).

both Rate Design Panels, where the proposed changes to the tail block would encourage greater energy efficiency:

> To provide signals to customers to reflect the effects of their usage on the overall system, including supporting conservation. This is supported by increasing, where feasible, the tail block by a greater percentage than the mid-block, thus moving away from a declining rate structure.

The proposed slopes did not change from initial to corrections and updates testimony. To avoid extreme bill impacts for high users in the SC1A Non-heating class (a class that has little ability to manage demand), the KEDNY Rate Design Panel, on page 38 of their Initial Testimony, proposed to increase the customer charge $21.00 (currently $16.25) and to increase both blocks by the same percentage. The KEDLI Rate Design Panel, on page 39 of their Initial Testimony, proposed the customer charge to increase to $25.85 (currently $19.75) and to move the tail block rate from 24.4% of the midblock to 33.5% (slight movement towards flat rates). Declining rate design structures are found in the Companies' SC-2 General Service Heating and Non-Heating Rate Classes and KEDLI SC-3 Muti-Family.[17] The Companies proposed to make movement in the block rate structures for these classes while considering bill impacts.

The latest computations can be found in both Companies': calculation of proposed delivery rates in Exhibit__(RDP-4CU), Schedule 3; associated bill

[17] Initial Testimony of the Rate Design Panel (KEDNY), at 39-40 (Apr. 28, 2023); Initial Testimony of the Rate Design Panel (KEDNY), at 40-41 (Apr. 28, 2023).

impacts presented on Exhibit__(RDP-4CU), Schedule 4; and summary of proposed rates is presented in Exhibit__(RDP-4CU), Schedule 8.

Q. Are there service classes that currently do not have or are proposed to fully phase out of a declining block rate structure?

A. Yes. For example, KEDNY SC-1B-DG (Residential Distributed Generation (DG)) and KEDLI SC-1DG currently have a single volumetric delivery rate structure which the Companies propose to maintain.[18] The Companies propose to eliminate the declining rate structure for KEDNY SC-3 Multi-family.[19]

B. Recommendations

Q. Do you have any concerns with the Companies' rate design proposals?

A. I am generally accepting of the Companies' direction of modifying rates for the Service Classes mentioned above given the extreme rate increases proposed in these cases. I provide illustrative bill impacts in Exhibit__(DP-2) which assumes my proposed revenue allocation approach and modifies rate design in a similar manner as the Companies. However, a reduction in the customer charge or more movement towards eliminating declining block rates for customer classes identified

[18] Initial Testimony of the Rate Design Panel (KEDNY), at 39 (Apr. 28, 2023); Initial Testimony of the Rate Design Panel (KEDLI), at 40 (Apr. 28, 2023).

[19] Initial Testimony of the Rate Design Panel (KEDNY), at 40 (Apr. 28, 2023).

as having the ability to manage demand may be feasible if the Commission approves significantly lower revenues in these cases.

Q. Does this conclude your direct testimony, which was prefiled with the Commission on September 1, 2023?

A. Yes.